A Vibrant and Thriving SUSD

Reducing our footprint to increase our impact

Governing Board Presentation

November 18, 2025

OUR FOCUS THEIR FUTURE

DISTRICT VISION

Engaging all students in world-class, future-focused learning

DISTRICT MISSION

We inspire, motivate, and empower all to think critically, act collaboratively, and embrace diversity for a life of intellectual exploration, community engagement, and personal growth.

OUR FOCUS THEIR FUTURE

DISTRICT VALUES

Excellence: *We nurture a growth-minded culture of high expectations, creativity, persistence, and self-discipline.*

Integrity: *We demonstrate honesty, transparency, and reliability through our words and actions.*

Empathy: *We welcome all with kindness, love, compassion, and joy.*

Trust: *We earn the confidence of stakeholders through accountability, openness, and authenticity.*

Inclusion: *We create an equitable environment where everyone is respected, treated with dignity, and has a sense of belonging.*

Unity: *We connect across communities to advance educational opportunities for all.*

Items for Discussion and Consideration

A vision for a vibrant and thriving SUSD for the future

Historical context & previous efforts

- Facility changes 2008-2020
- Structural budget deficit
- Enrollment patterns and trends

Current data and reality

- Budget Study Session
- Demographic Study
- Enrollment updates

Potential Solutions

- Option 1
- Option 2
- Option 3

Next Steps and options for the future

Desired Outcome from these Efforts

A plan that

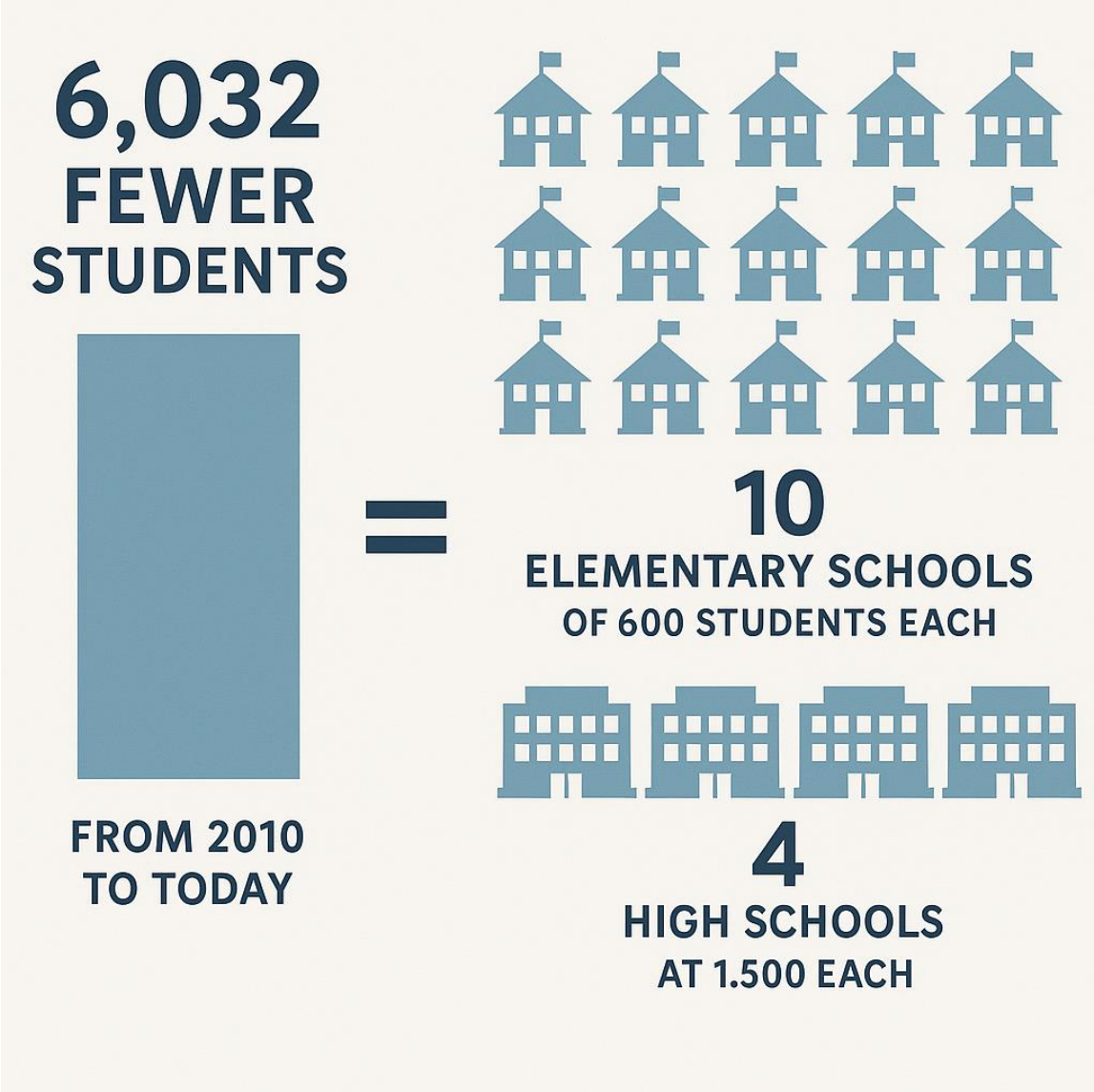
- eliminates the structural deficit
- reduces our footprint to increase our impact
- develops a solid foundation for the future.

Demographic Challenges—Historical Perspective

- 2010 enrollment 25,754
- 2025 enrollment 19,722
- **Difference: 6,032**

During that same period of time, only Tonalea Elementary is no longer operating as a school site.

Deep Dive Study Session with Governing Board 4/29/2025



Historical Demographic Studies (FY19-25)

SUSD is experiencing a long-term, structural decline in student enrollment driven by:

- Aging population and shrinking number of families with children.
- Housing development trends favoring multifamily units that produce few students.
- Ongoing competition from charter and private schools.
- Enrollment losses expected to continue across nearly all schools and communities for at least the next decade.
- Even though SUSD continues to grow in total population and housing units, these additions are not translating into student growth, because new residents are mostly non-family households.
- The District will continue to face challenges related to declining enrollment, school capacity balancing, and long-term planning for facilities and staffing.

Solutions attempted, in place and explored—partial list

- Pima as a Traditional School
- Merging Hohokam and Yavapai (2021-22)
- Sustainability Theme with Looping focus at Echo Canyon
- Fine Arts Magnet at Copper Ridge
- Tonalea K-8 to Tonalea Middle School
- Laguna STEAM (added uniforms and considering name change)
- Hopi and Echo merge to form a primary and intermediate campus

Budget Challenges

Structural deficit between $7.9-9 million

Cash accounts with historically robust fund-balances eased pressure on M&O for years, including through COVID, but now are at levels that require positions to be moved back to M&O

State increases are generally at 2% (max required by law) even though inflation over the past five years has been much greater

Reductions have been made in the past five years

District Office FTE Reductions From Fiscal Year 2023 - 2026

Finance – 3

- Business Analyst/Internal Auditor
- Financial Specialist – Grants
- Fiscal Support Specialist

Information Technology – 1.5

- Chief Systems Officer (combined with CCIO)
- Director of Programming and Data

Legal – 1

- Records Management Specialist

Student Information – 1

- Student Testing Coordinator

Total in administrative reductions = 25.25 FTE
Estimated Savings = $1.4 million

Bond – 4.95

- Bond Project Manager
- Assistant Bond Project Manager
- Administrative Support Coordinator
- Student Assistant for Bond Projects

Communications – 3.5

- Chief Communications and Information Officer (combined role)
- Coordinator of Strategic Partnerships
- Social Media Specialist
- Moved 2 District Office Coordinator Positions to Superintendent

Educational Services – 10.3

- Behavior Intervention Specialist – 2
- ESSER Coordinator
- Senior Executive Administrative Assistant
- Executive Administrative Assistant
- Instructional Technology Trainer
- IT Support Specialist
- Mentor Teacher
- MTSS Specialist Academic
- MTSS Specialist Behavior
- Translation Specialist

Reduce structural deficit for a sustainable future

Where We Are

- Enrollment has declined by 6,000 students since 2010, yet the district continues to operate nearly the same number of sites
- Cash account balances are rapidly declining due to ongoing expenditures exceeding revenues.
- Most recent demographic study confirms trends from the past and expresses steeper declines anticipated in the future

What We've Done

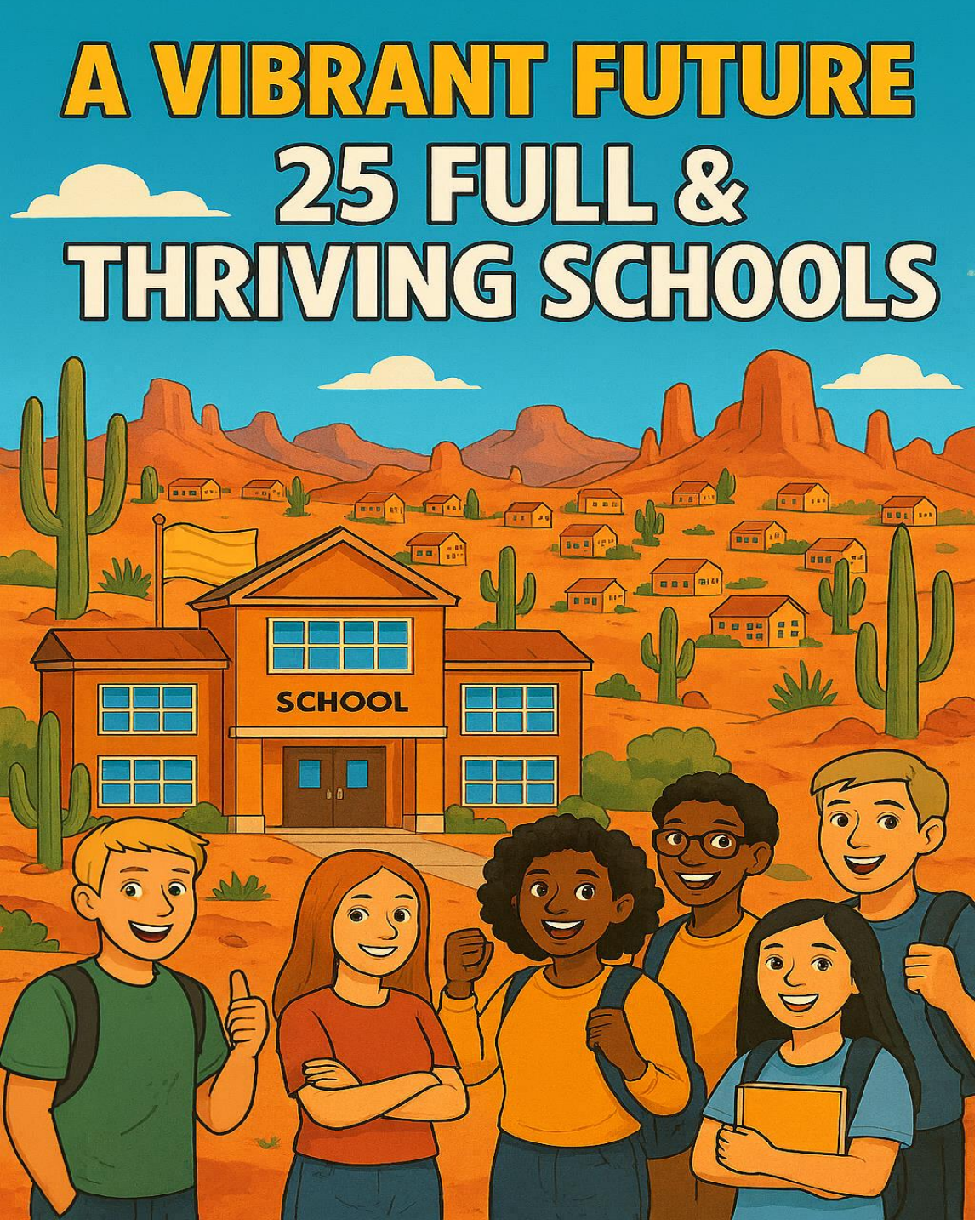
- Implemented $4.7M+ in cost-saving measures since 2023 (staff reductions, special ed efficiencies, software audits)
- Deferred or absorbed positions to reduce overhead.
- Protected classroom and staff pay wherever possible.

The Reality

- Structural deficit persists despite one-time fund carryforwards.
- Maintaining under-enrolled schools diverts dollars from salaries and student programs.
- Board-led decisions added roughly $3.5M in ongoing commitments to the M&O budget.

The Road Ahead

- **Reduce** our footprint from 29 to 25 school campuses and merge Main Street and MDA admin offices
- **Repurpose** facilities to reduce expenses and generate revenue in the areas of early learning and special education
- **Increase** revenue leveraging all possible solutions including maximizing all leasing opportunities and enhance focus on facility rental marketing



Full and Thriving Schools

Based on historical demographic trends and projections for the next 5-10 years, Scottsdale Unified should reduce our footprint by at least 4 school buildings.

By 2027-28 school year repurpose four schools to ensure optimization of resources

Reduce our footprint

Phase I—Schools Under 300

Proposed implementation in 2026-27

Echo Canyon K-8 (257)

Pima Elementary K-5 (296)

Feasibility conversations around DCES/DCMS becoming a K-8 given location on same property—no planned implementation date

Phase II—Schools at or under 400

Proposed implementation of restructuring in 2027-28

Anasazi K-5 (407)

Copper Ridge K-8 (440)

Laguna K-5 (302)

Redfield K-5 (376)

Tonalea Middle 6-8 (364)

Yavapai K-5 (345)

Administrative sites merge

Potential sale of Main Street

Combining of administrative offices to one location at MDA

Moving Community Education and Nutritional Services to other locations allowing for closure of Oak location

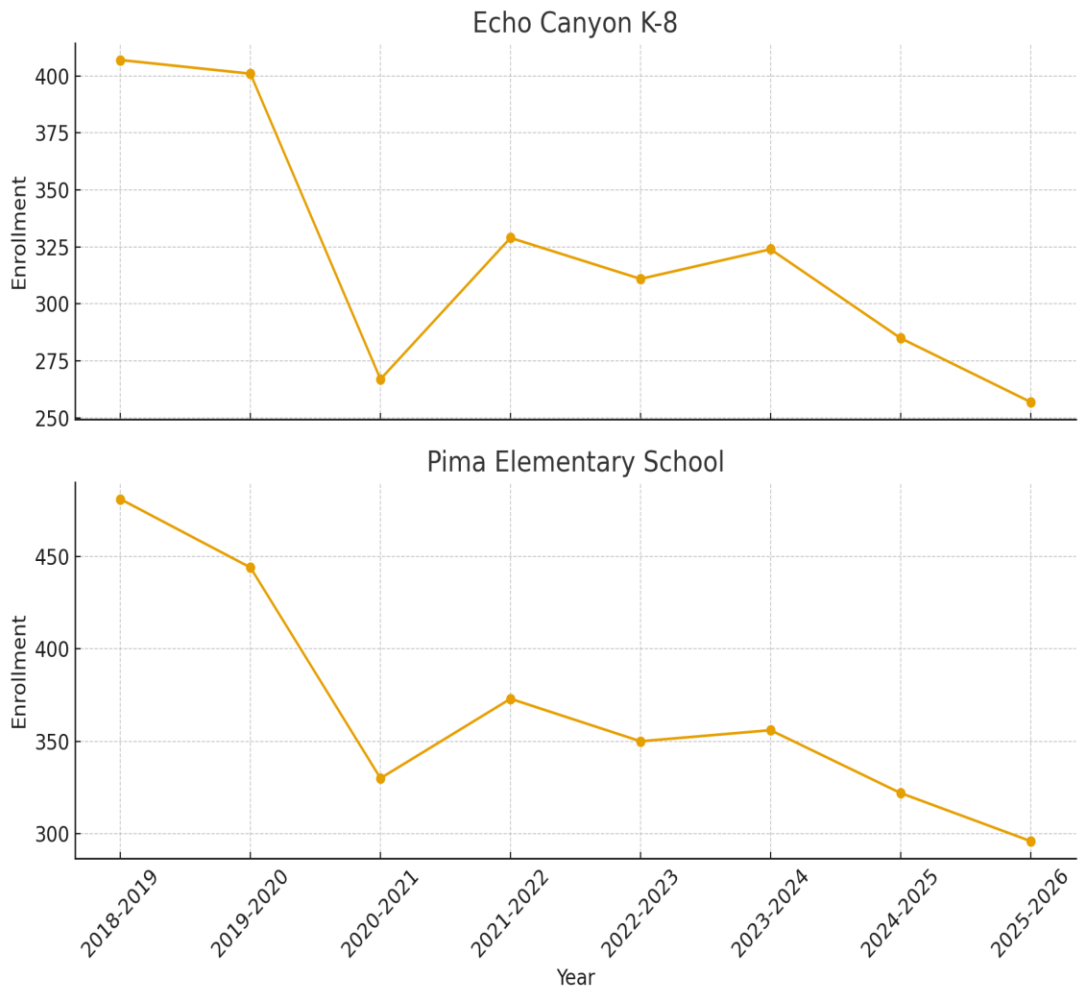
Tableau charts:

Enrollment and Capacity

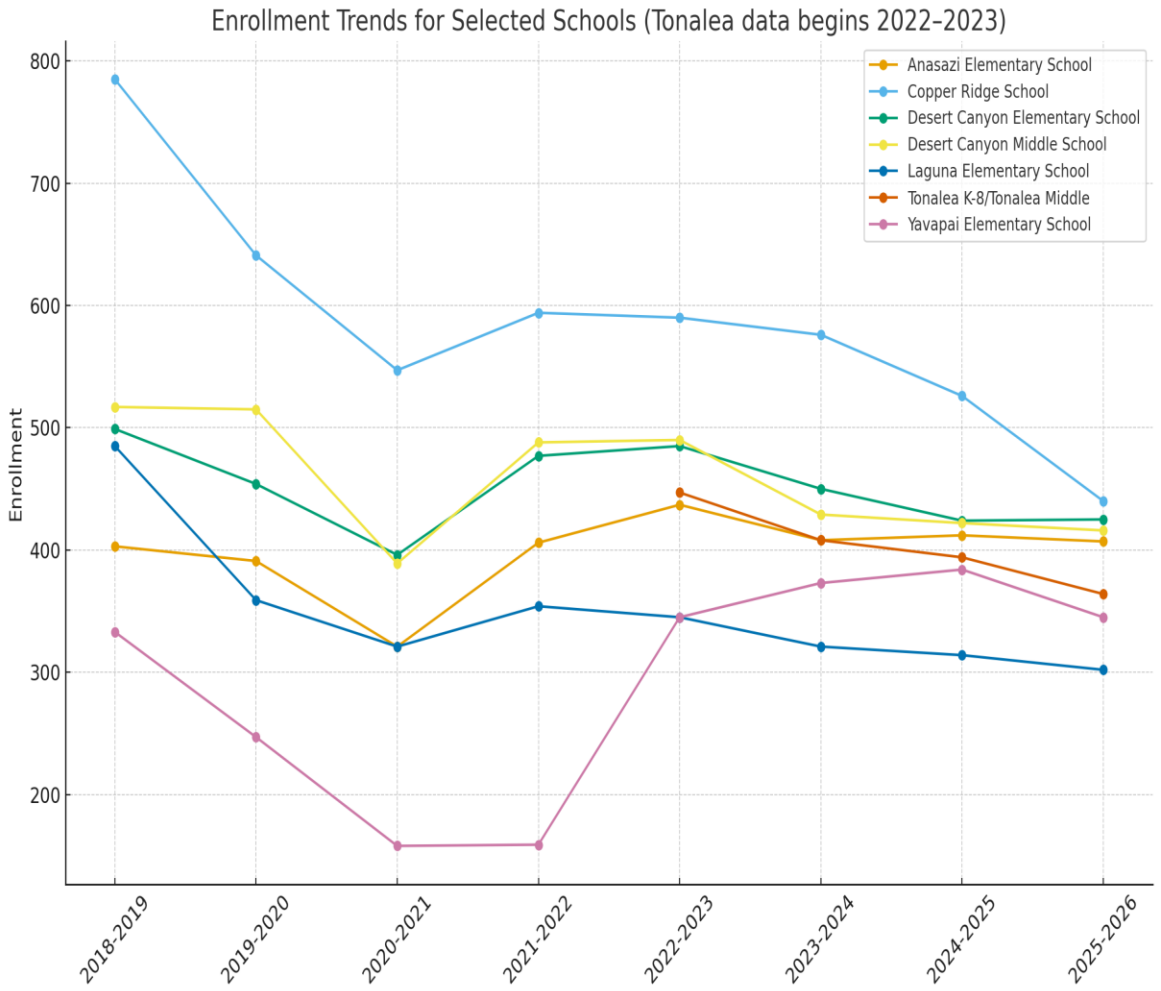
School Capacity Visualizations

Enrollment Trends for Phase I & II

Phase I Schools (under 300)



Phase II Schools (at or under 400)

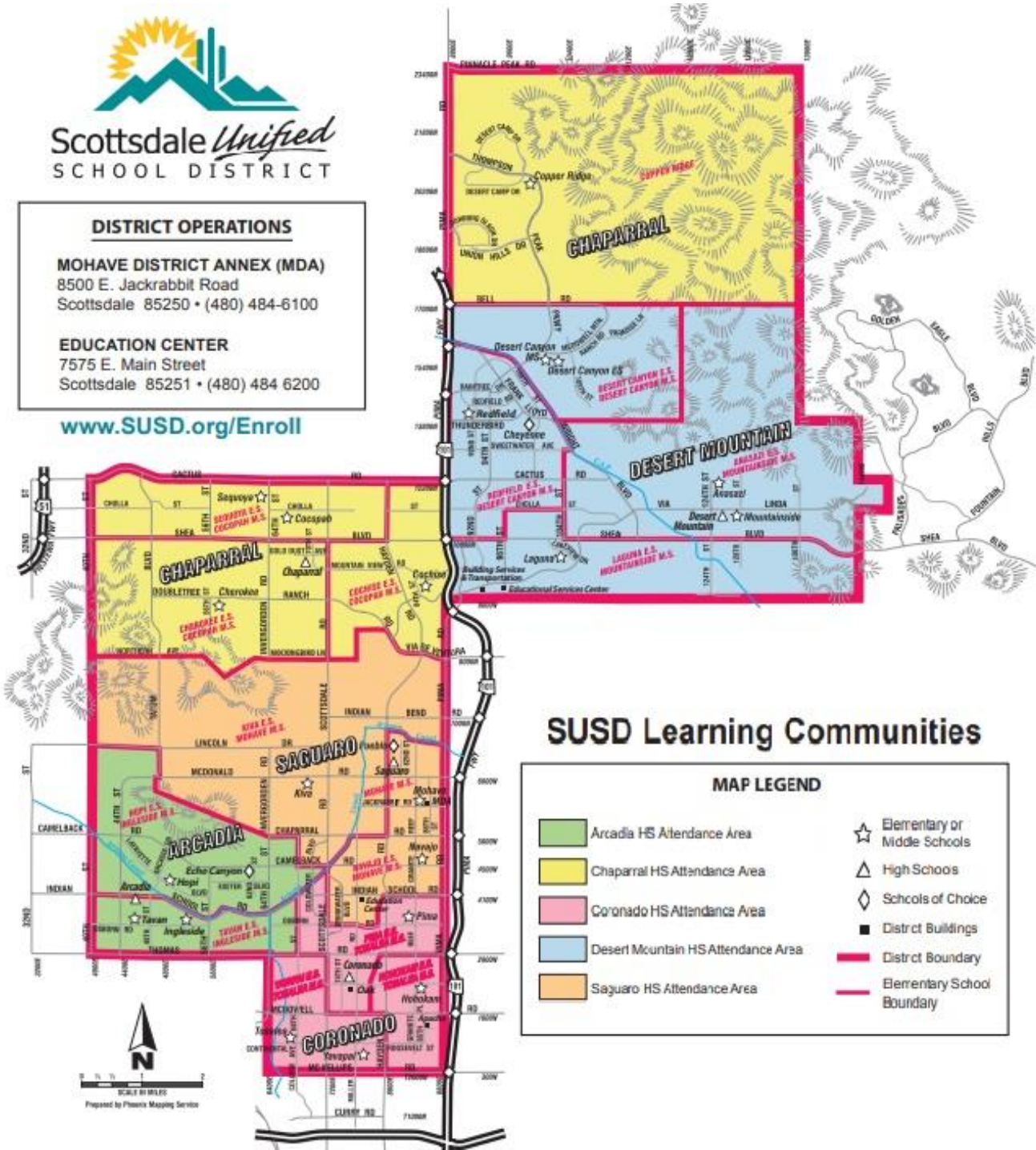


Current School Capacity

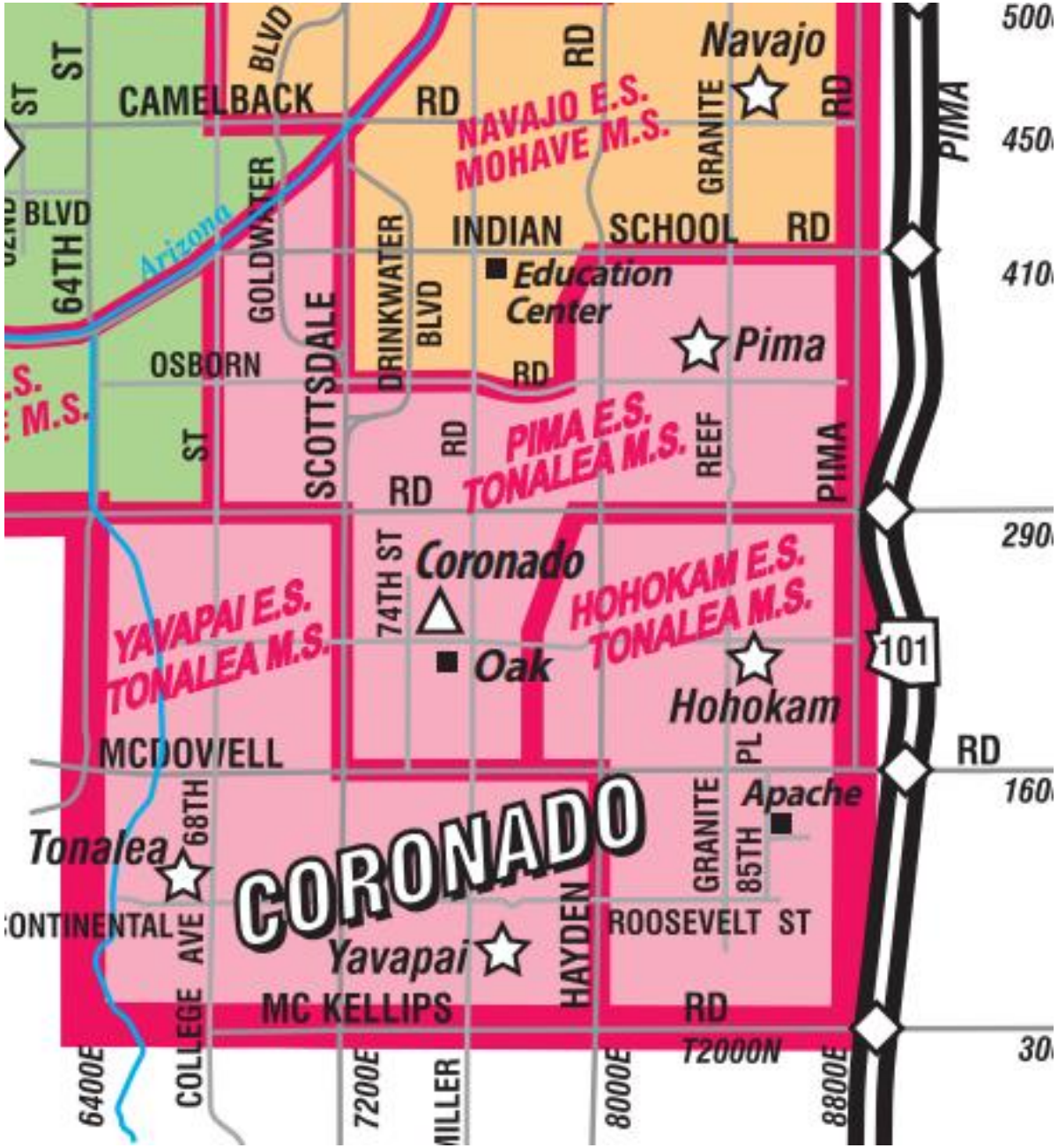
Phase I and Phase II

	Program Capacity	Current Enrollment 9/30/2025, excluding PreK	Excess Capacity	Excess Capacity as Percent of Program Capacity
Cheyenne Traditional School	1074	925	149	14%
Copper Ridge School K-8	1528	440	1088	71%
Coronado High School	1437	691	746	52%
Desert Canyon Elementary School	730	425	305	42%
Desert Canyon Middle School	949	416	533	56%
Echo Canyon K-8	521	257	264	51%
Hohokam Elementary	655	478	177	27%
Laguna Elementary School	638	302	336	53%
Pima Elementary School	662	296	366	55%
Redfield Elementary School	794	376	418	53%
Tonalea Middle School	740	364	376	51%
Yavapai Elementary School	721	345	376	52%

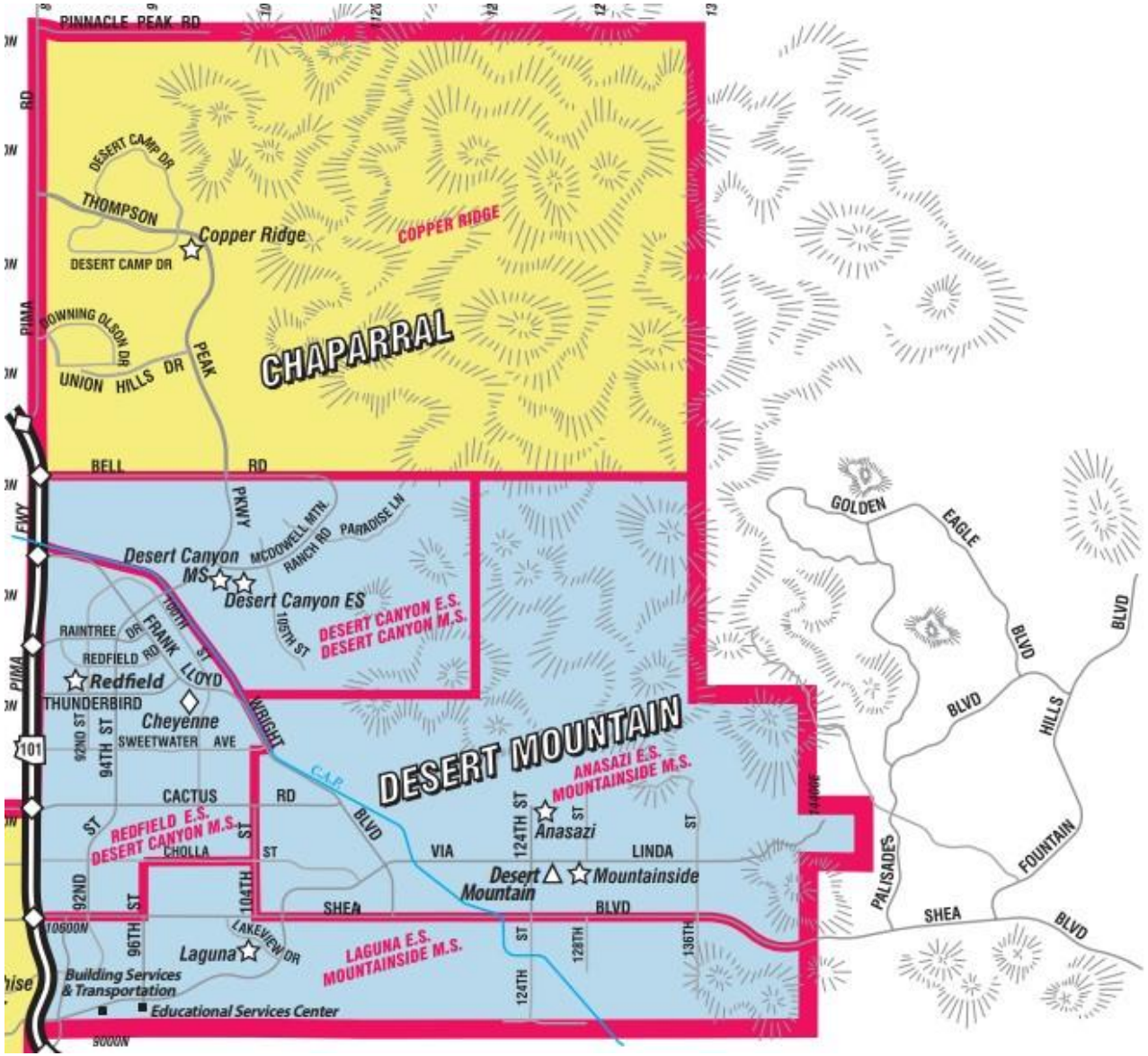
Current Map of SUSD with school boundaries



Coronado Learning Complex



Desert Mountain and North Chaparral



Repurpose: Potential Considerations

Phase I

- Close Pima and Echo Canyon as proposed beginning in the 2026-27 school year.
- Cost savings projected at $2.7 million

Phase II

- Move Cheyenne Traditional to Copper Ridge
- Reboundary Copper Ridge into DCES/DCMS
- Merge Redfield and Laguna into current Cheyenne location
- Cost Savings projected at $2.8 million

Phase I: Repurposing Solutions

Open Level D Special Education School

- Create a one-of-a-kind school serving students with a variety of special education needs.
- Return SUSD students currently placed in other Level D programs to their home district
- Eliminate tuition expenses for students currently placed outside of SUSD.
- Generate additional revenue via tuition by offering program placement from outside SUSD

Relocate Community Ed and Early Learning

- Increase revenue with expansion of early learning programming to include toddlers and preschool students
- Enhance enrichment opportunities and facility use with a focus on strengthening current partnerships and generating new facility use and enrichment opportunities
- Reduce operations at Oak campus to minimal cost and explore potential partnerships and/or satellite campuses

Merge Main Street and MDA offices

- With potential sale of Main Street, reduce administrative footprint by relocating main street employees to MDA.

Phase II: Repurposing Solutions

<u>Move Cheyenne Traditional to Copper Ridge (capacity: 1,528)</u>

Copper Ridge:

•Capacity: **1,528**

•Current enrollment: **440**

•Excess capacity: **1,088 seats** (71%)

Cheyenne Traditional:

Enrollment: **925**

Fit check:

1,528 capacity – 925 students = **603 seats available**

👉 Cheyenne fits comfortably, even with future traditional program growth.

👉 This also places a high-demand Traditional school in a significantly underutilized facility with opportunity to grow.

👉 Allows for more separation of elementary and middle grades providing opportunity to expand middle school enrollment and course opportunities

Phase II: Repurposing Solutions

<u>Merge Copper Ridge K–8 students (440) with Desert Canyon Elementary (425) and DCMS (416)</u>

Combined Desert Canyon Campuses:

- **Desert Canyon Elementary capacity:** 730
- **Desert Canyon Middle capacity:** 949
- **Total combined capacity: 1,679**

Combined enrollment:

- DCES: 425
- DCMS: 416
- Former Copper Ridge students: 440

- **Total students:** 1,281

Capacity margin:

1,679 – 1,281 = **398 open seats (24% flexibility)**

👉 Students can be redistributed naturally:

- K–5 (Copper Ridge + DCE) fit into DCE
- 6–8 (Copper Ridge + DCMS) fit into DCMS

👉 Both buildings remain in the **healthy 75–90% utilization zone**.

Phase II: Repurposing Solutions

<u>Merge Laguna (302 students) + Redfield (376 students) →</u>
<u>into former Cheyenne campus</u>
Former Cheyenne capacity: **1,074**
Combined enrollment: **302 + 376 = 678**
Remaining capacity:
1,074 – 678 = **396 seats open (37%)**
👉 Very comfortable fit
👉 Allows for future enrollment fluctuation
👉 Could consider making the new school K–6 or K–8
This move **eliminates two 50%-empty buildings** and uses a campus with a far healthier utilization rate.

Phase III Potential

If after accomplishing actions from Phase I and Phase II, the demographic trends continue to decline in the Coronado Learning Community, further conversations and planning for reconfiguration may be necessary.

Increase Revenue: *Potential Strategies for the Future*

Review all agreements and efforts to fully maximize facility leasing capacity and efforts

Explore options for future clinic partnerships serving the Scottsdale community housed on SUSD campuses

Explore feasibility and options to create a conference center or multipurpose facility that could serve as a destination location for business, national conferences and events from across the valley and nation.

Create Specialty School Strategic Action Team: The focus of the team would be to develop a long-term specialty school/program strategic plan including sustainability planning for current programming and efforts to explore future specialized school/program offerings including- Fine and Performing Arts school, Gifted and Advanced Academic School, Early College and other unique school models.

Options for a Vibrant and Thriving SUSD Future by 2027

1

Accelerate Phase I and II and accomplish by August 2026. Resolve structural deficit through closure, consolidation and repurposing efforts.

2

Implement Phase I for 26-27 and Phase II for 27-28. Resolve structural deficit through, closure, consolidation and repurposing efforts.

3

Resolve budget deficit through program and staff reductions.

Potential timeline—Option 1

Accelerate the timeline of Phase I and II with implementation and reduction in the number of school buildings in the 2026-27 school year.

Potential cost savings of $5.5 million and the opportunity to give a 2% pay increase to staff

Benefits	Challenges
• Results in maximizing savings from the change and reducing the amount of time related to uncertainty regarding what's next for low-enrolled schools. • Reduces footprint and allows for expedited repurposing efforts that could lead to revenue increases through new programming, lease arrangements and facility uses.	• Limits opportunity for family and staff engagement and further solution development • Compresses timeline for movement and relocation of equipment, materials, etc. required with campus consolidations. • Increases number of staff impacted by enrollment shifts causing potential for surplus leading to reductions.

One-Year Approach

Budget Deficit

ADM Reduction	$	3,500,000
Positions & expenditures moved back to M&O	$	5,500,000
Estimated Savings		
Pima	$	(1,229,024)
Echo	$	(1,334,302)
Copper Ridge	$	(845,547)
Desert Canyon EL/MS	$	(728,019)
Redfield	$	(248,153)
Laguna	$	(1,041,085)
Oak	$	(145,733)
Main St.	$	(26,868)
Total Savings	$	(5,598,731)
2% Salary Increase	$	3,000,000
Level D Special Education Program	$	(1,000,000)
DAA Transfer to M&O	$	(5,400,000)
(Total Transfer $4.2 +$5.4 million = $9.6 million)		
(note: moving an additional $5.4 million is not sustainable for long term)		
Ending Balance - Deficit	$	1,269

Potential timeline-Option 2

Implement initial Phase I and Phase II repurposing timeline (two buildings in 26-27 and two in 27-28).

Potential cost savings in Year 1 ($2.7 million) and in Year 2 ($2.8million)

Benefits	Challenges
Benefit includes more time to work with families in the DM learning community on repurposing options to ensure full and thriving schools.	Challenge includes limiting amount of potential pay raise based on structural deficit and extended period of uncertainty for staff and families.

Two Year Approach

Budget Deficit

ADM Reduction	$3,500,000
Positions & expenditures moved back to M&O	$4,400,000

Year 1 (Fiscal Year 2026-2027)

Savings

Pima	$(1,229,024)
Echo	$(1,334,302)
Oak	$(145,733)
Main St.	$(26,868)
Phase 1 Total	$(2,735,927)
1% Salary Increase	$1,500,000
Level D Special Education Program	$(1,000,000)
DAA Transfer to M&O	$(5,400,000)

(Total Transfer $4.2 +$5.4 million = $9.6 million)

(note: moving an additional $5.4 million is not sustainable for long term)

Ending Balance - Deficit	$264,073

Budget Deficit

Remaining Amount Cash Expenses to M&O	$1,100,000

Year 2 (Fiscal Year 2027-2028)

Savings

Copper Ridge	$(845,547)
Desert Canyon EL/MS	$(728,019)
Redfield	$(248,153)
Laguna	$(1,041,085)
Phase 2 Total	$(2,862,804)
DAA Transfer from M&O back to DAA	$1,700,000

(Total Transfer $9.6 - $1.7 million = $7.9 million)

(note: moving an additional $5.4 million is not sustainable for long term)

Ending Balance - Positive	$(62,804)

Potential Timeline- Option 3

Decision not implement Phase I and II repurposing plans with no change for buildings leaving a structural deficit of $7.9-9 million.

This option still requires major decisions over the next two years and may jeopardize the proposed bond on the November 2026 ballot

Benefits	Challenge
• Low enrolled schools remain open with no disruption to students, families and staff • Provides longer amount of time for conversations and solution development.	• **Remaining structural deficit would have to be addressed through program and service eliminations** • Potential reductions and/or eliminations of programs and services will impact every school site. • Minimal time to engage staff, students and families in program and service elimination and reduction conversations.

Delay Decision

Year 1 (Fiscal Year 2026-2027)

ADM Reduction	$3,500,000
Positions & expenditures moved back to M&O	$4,400,000

Savings	
Program Savings	$(1,100,000)
No Salary Increases	$-
DAA Transfer to M&O (Maxes out the amount of DAA that can be moved)	$(6,800,000)
(Total Transfer $4.2 + $6.8 = $11 million)	
(Note: moving full DAA amount to M&O is not sustainable)	
Ending Balance	$-

Year 2 (Fiscal Year 2027-2028)

Remaining Amount Cash Expenses to M&O	$1,100,000

Savings	
Additional Program Savings	$(4,100,000)
No Salary Increases	
DAA - Transfer funds from M&O back to DAA	$3,000,000
(Total Transfer $11 - $3 million = $8 million)	
(Note: moving full DAA amount to M&O is not sustainable)	
Ending Balance	$-

M&O Cost Savings Options

Increase Class Size by 1	$(1,500,000)
Eliminate RN's to move to Health Assistance	$(887,664)
Eliminate Teacher Librarians for Library Resource	$(455,464)
Increase Guidance Counselor Ratios	$(993,975)
International Baccalaureate Programs	$(364,896)
AVID Program	$(101,048)
Math & Science	$(450,673)
Dual Language Pueblo - 2 FTE	$(130,000)
Dual Language Mohave - 2.4 FTE	$(156,000)
Dual Language Desert Canyon EL and MS -6 FTE	$(390,000)
AP Ratios	$(400,000)
Change Security Guards from 12-month to 10-month + 5 days	$(261,661)
Total Savings	$(6,091,381)

Next Steps

Decide how to proceed on recommendation related to Pima and Echo Canyon

- **If proceeding to December 9th recommendation, staff will provide the following:**
  - Information on student reassignment and receiving school capacity.
  - Maps reflecting proposed boundary change
  - Information on transportation services
  - Details of how sibling placements will be handled
  - Plan for specialized programs (SUCCESS, SCA, Life Skills) relocation
  - Timeline and transition process for families

Determine whether to accelerate timeline or continue Phase I/Phase II path for two-year implementation

Direct administration to study repurposing options related to Phase I and Phase II schools if target is to reduce buildings from 29 to 25

If the desire is avoid repurposing of schools, provide direction to administration on where to cut to eliminate structural budget deficit

Appendix of Presentations and Demographic Data

- Governing Board Presentations
  - Grow or Consolidate Presentation- November 2018
  - Restructure Recommendation and Presentation- November 30, 2021
  - Enrollment Study Session- April 2025
  - Budget Study Session- October 2025
  - 40th Day Enrollment Trend History (2018-Present)
- Capacity Studies
  - Excess Capacity: Saguaro Learning Learning Community-September 17, 2019
  - Excess Capacity: Arcadia & Coronado Learning Communities-October 15, 2019
  - Excess Capacity: Chaparral & Desert Mountain Learning Communities-November 5, 2019
  - Approval for Excess Capacity November 19, 2019
  - 2025 School Capacity Study
- Demographic Studies
  - September 2018
  - November 2019
  - March 2021
  - January 2022
  - November 2025
- Additional Data
  - Tableau Capacity Visualizations